On admission to the examination room, you should acquaint yourself with the instructions below. You must listen carefully to all instructions given by the invigilators. You may read the question paper, but must not write anything until the invigilator informs you that you may start the examination.

You will be given five minutes at the end of the examination to complete the front of any answer books used.

May/June 2014 **IC103 2013/4 A 001**

1 EDPAC grid
1 Answer Book

UNIVERSITY OF READING

INTRODUCTORY ECONOMICS FOR BUSINESS AND FINANCE (IC103)

Two Hours

Answer **ALL questions from Section A**, using the EDPAC grid provided.
Answer **ONE question from Section B** and **ONE question from Section C** using the Answer Book.

Section A is worth 60 marks, Section B is worth 20 marks and Section C is worth 20 marks.

SECTION B – Microeconomics essay questions
Answer ONE question (20 Marks)

1. What are the pricing and output characteristics of oligopolistic industries?

2. Firms will always attempt to maximise profits. Discuss.

3. Explain the reasoning behind the U-shaped short-run and long-run average cost curves.

SECTION C – Macroeconomics essay questions
Answer ONE question (20 Marks)

1. Discuss how the interaction of the multiplier and accelerator can explain economic expansions and contractions.

2. Distinguish between disequilibrium, structural and demand deficient unemployment. How do these types of unemployment occur?

3. Discuss the problems associated with floating and fixed exchange rates.

(End of Question Paper)